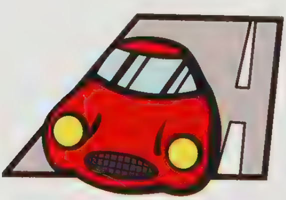
putting away to ensure that your living expenses are well covered in retirement, and put that much away. This varies a lot depending on how much you have in right now, how much your employer matches, and so on, so you should talk to your retirement planner at work about the specifics.

### *College savings*

College savings are next. If you have kids, set up a 529 college savings plan for them and start automatically putting a certain amount into this account each month. The plan I use for my own children is College Savings Iowa, which is managed by Vanguard & Ascensus. I put in $100 a month for each child.

### *Pay off all debts*

If all of these are covered and you still have cash left over (which you will, given some time), the next step is to pay off all of your debts. Get rid of your car loans, your student loans, and your mortgage. This is actually the step I'm focusing on right now, as I have already taken care of steps one through four.



### *Invest*

You might also want to start investing at this point. My recommendation is to buy low-cost broad-based index funds because they don't have many fees and grow very nicely over long periods of time. I personally invest with Vanguard directly through Vanguard.com.

## 5. Control your own destiny!

Most people see the goal of all of this as being rich. That's why you see so many books about millionaires on bookstore shelves—being a millionaire is something many of us aspire to, right?

Here's the secret: It's not about being rich. Having a big net worth is just an indicator of what this whole process is really about.

It's all about freedom. Freedom from debt. Freedom from supervisors telling us what to do. Freedom to spend the time to do things right. Freedom to try out new things and follow our interests. Freedom to sleep until 11 one day, then stay up until 2 in the morning working on what we're passionate about.

That's what most people really want. I know that's certainly what